

ECON 2103 · IN-CLASS EXPERIMENT

The Market Game

You **buy** and **sell** a good. We post a price, you show your cards, and we let the market hunt for the one price where it all balances — the **equilibrium**.

WHO YOU ARE

Everyone gets one card

Half of you are buyers, half are sellers. Your card holds one private number — keep it in mind, it's what you're worth in this market.

BUYER · your VALUE

The most you'd pay for one unit. Pay less than that and you pocket the difference.

Raise your card when the price is $\leq$ **your value**.

SELLER · your COST

What one unit costs you to make. Sell for more than that and the rest is profit.

Raise your card when the price is $\geq$ **your cost**.

HOW A ROUND WORKS

Post · pair up · trade

- 1 We **post a price** on the screen.
- 2 If it's worth it, raise your card to trade **one unit** — **buyers** when $\text{price} \leq \text{their value}$, **sellers** when $\text{price} \geq \text{their cost}$. You may **hold out** for a better price.
- 3 We **count the cards** → this round's **Demand** and **Supply**.
- 4 **Pair up and deal** at that price. Whoever can't find a partner tries next round.
Write the price on your card.
- 5 The price adjusts, and we run the next round.

THE PRICE RULE

The price climbs to balance

Each round the price steps **toward balance** — up on a shortage, down on a surplus — and holds once Demand equals Supply.

$$\text{next price} = \text{price} + k \times (\text{Demand} - \text{Supply})$$

From the \$6 start it climbs a step at a time to equilibrium. e.g. \$6 → \$8 → \$9 → \$10.

Shortage — Demand > Supply → too many buyers chasing too few units → **price jumps up** ↑

Surplus — Supply > Demand → unsold units pile up → **price drops** ↓

Balanced — Demand = Supply → the market has **cleared**. Equilibrium!

WINNING

Best average price wins

You trade **3 units** over the game. Write down each price, then average them. It's all about **timing**.

Top Buyer

lowest average price paid

Grab cheap units early, while the price is still below normal.

Top Seller

highest average price received

Hold your units until the price has climbed — but don't wait too long.

The market's average settles around **\$10** — beat it, and you outraded the room.